

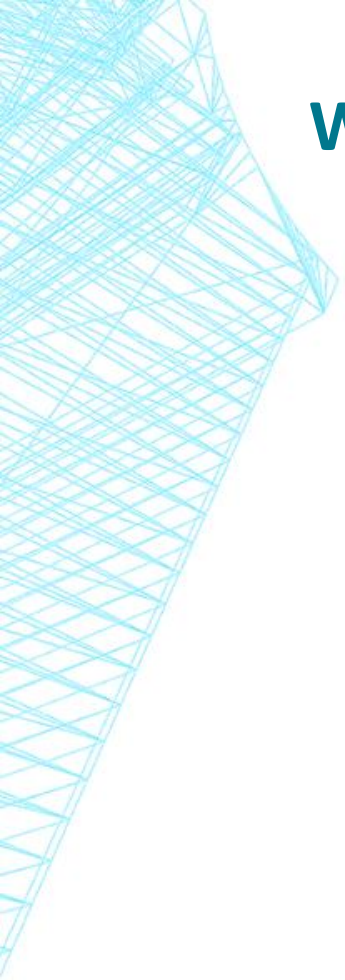
The Strategic Management Process: Achieving and Sustaining Competitive Advantage





After Finishing This Lecture We Should Know The Following:

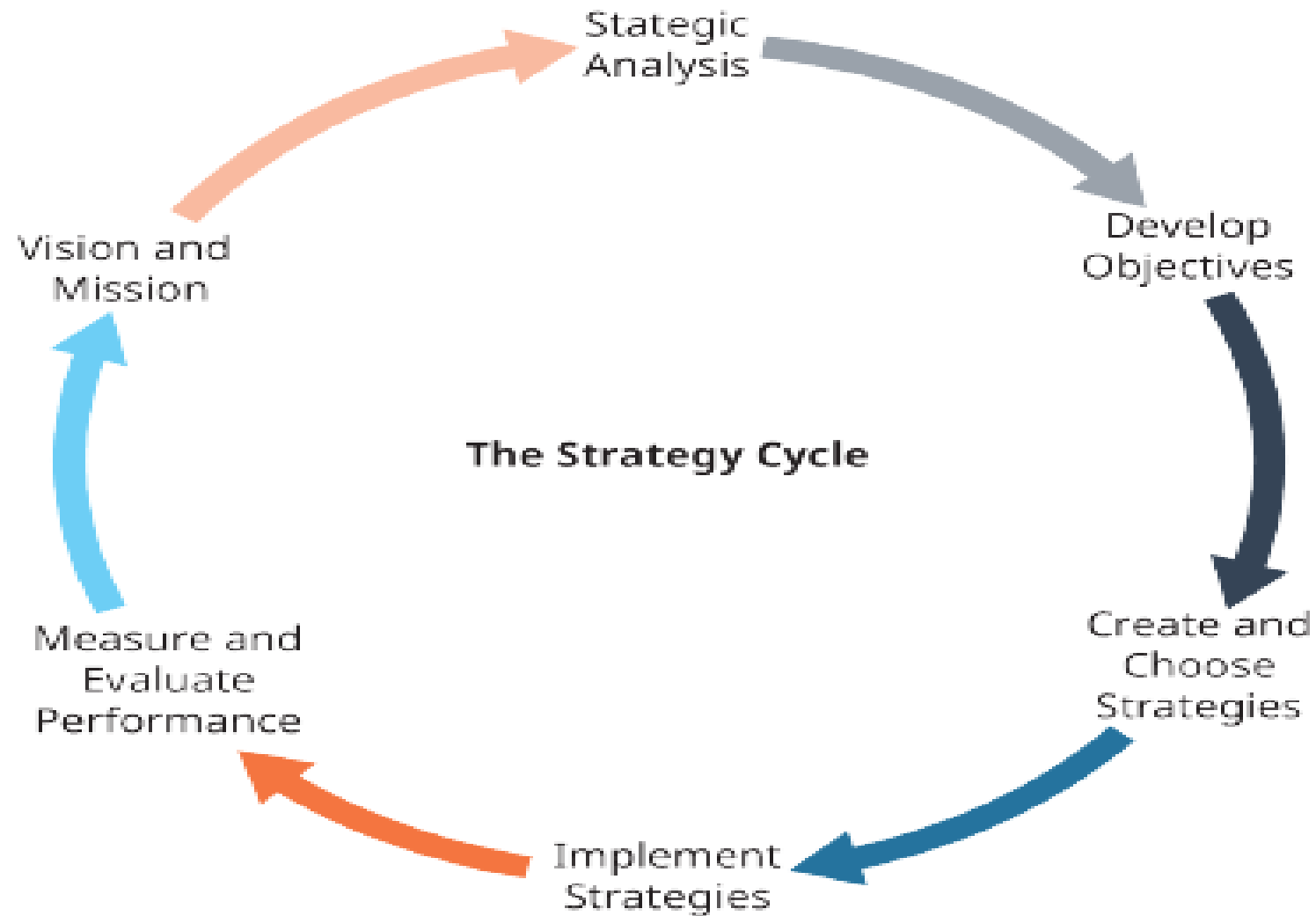
- **What is the strategic management process?**
- **What is the meaning of a plan?**
- **What does the planning process look like?**
- **What are the levels of planning?**

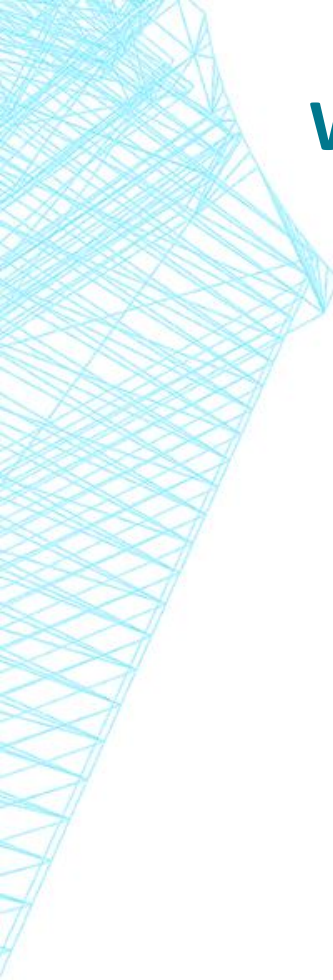


What is the strategic management process?

- The strategic management process is a **set of distinct activities** that **firm** managers **undertake** to **put** their **firms** in the **best possible position** to **compete successfully** in the **marketplace**.
- **Strategic management** **comprises several distinct activities**, shown in the following Exhibit.

What is the strategic management process?

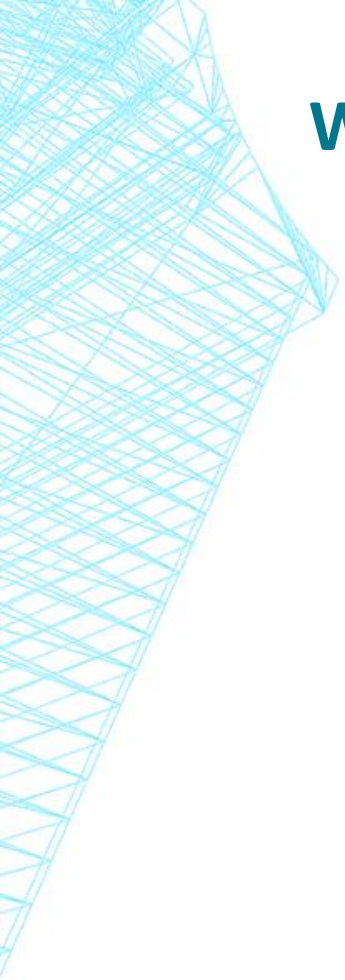




What activities make up the strategic management process?

1-Firm Vision and Mission

- A **vision** statement **expresses what** a business's founders **want that business to accomplish.**
- The **vision** statement **is** usually **very broad**, and it **does not** even have to **mention a product or service.**
- The **vision** statement **does not describe the strategy** a firm will use to follow its **vision—it is simply a sentence or two that states** why the business **exists.**

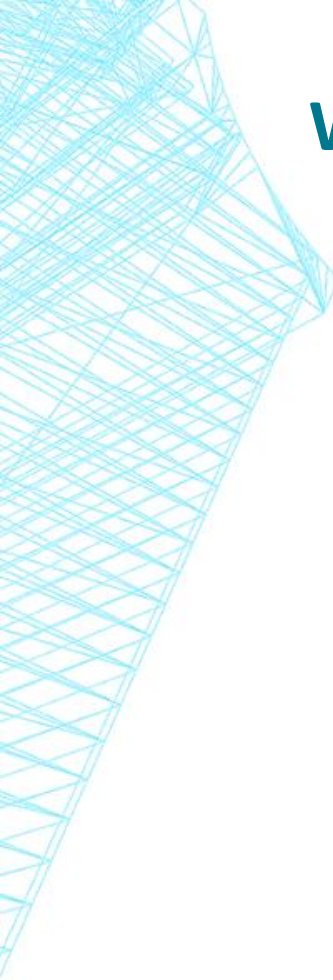


What activities make up the strategic management process?

- The **mission** statement **takes the why of a vision** statement and briefly **describes how** the **firm** will try to **make** its **vision** a **reality**.
- A **mission** statement **is** still **not a strategy** but **focuses** on **describing the products a firm plans to offer** or the target markets it plans to serve.

What activities make up the strategic management process?

Vision → Mission		
	Broad: <i>Why do we exist?</i>	Focused: <i>How will we accomplish our vision?</i>
Disney	"To make people happy."	"The mission of The Walt Disney Company is to be one of the world's leading producers and providers of entertainment and information. Using our portfolio of brands to differentiate our content, services and consumer products, we seek to develop the most creative, innovative and profitable entertainment experiences and related products in the world."
Ikea	"To create a better everyday life for the many people."	"We shall offer a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."



What activities make up the strategic management process?

2-Strategic Analysis

- A strategic analysis of a firm's external environment (the world, competitors) and internal environment (firm capabilities and resources) gives its managers a clear picture of what they have to work with and what needs to be addressed when developing a plan for its success.
- Strategic analysis is critical for businesses to understand whether their business idea is feasible and how to position their business relative to existing competitors or potential customers in order to maximize their odds of success.

What activities make up the strategic management process?

2-Strategic Analysis

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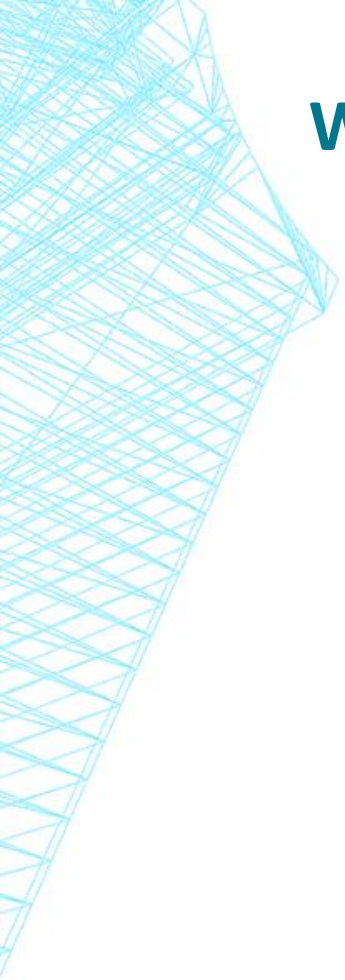
- What technological opportunities exist for my business?
- What sociocultural trends provide opportunities for my business?
- Are there laws or regulations that affect what I can sell or how I can make my product?

Porter's 5 Forces

- Are other firms in the industry competing based on price or on differentiation?
- Are new firms coming into this market?
- Do buyers have attractive substitute options for my offerings?
- Are suppliers available for the supplies I need?

Resources and Capabilities

- Do we have any special resources or capabilities that our competitors don't?
- Do we need any resources or capabilities in order to compete with other firms in the industry?



What activities make up the strategic management process?

3-Strategic Objectives

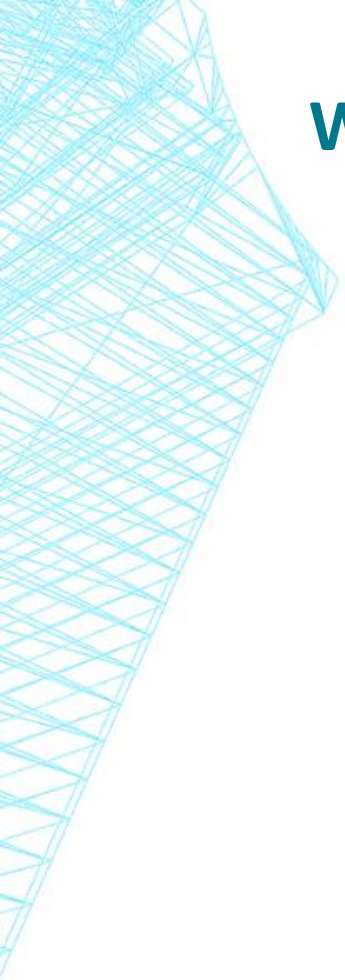
- **Strategic objectives** are the **company's big-picture goals**: they **describe what** the **company** will **do** to **fulfill** its **mission**.
- **Strategic objectives** are usually some **sort** of performance goal, such as **launching a new product**, **increasing profitability**, or **growing market share**.

What activities make up the strategic management process?

3-Strategic Objectives



To make people happy (Disney's vision), Disney focuses on entertainment (its mission). Top executives then decide each year what entertainment products the company will offer.



What activities make up the strategic management process?

4- Create and choose strategy

What are the levels of strategy that organizations can apply?

1- A growth strategy: involves developing plans to increase the firm's size in terms of revenue, market share, or geographic reach (often a combination of these, as they can overlap significantly).

What activities make up the strategic management process?

2- A stability strategy: is a strategy for a company to **maintain** its **current income**, market **share**, or **geographic** reach.

- ✓ A **firm** usually works to **maintain** a **stable position when** the **alternative is to lose ground in one of those categories**, for example, because of competition or economic factors.
- ✓ In today's business environment, **firms rarely aim to maintain the status quo** because **shareholders** and the stock market reward firm growth.

What activities make up the strategic management process?

3- Defensive strategies: Firms pursue **defensive strategy** in the **face** of **challenges**.

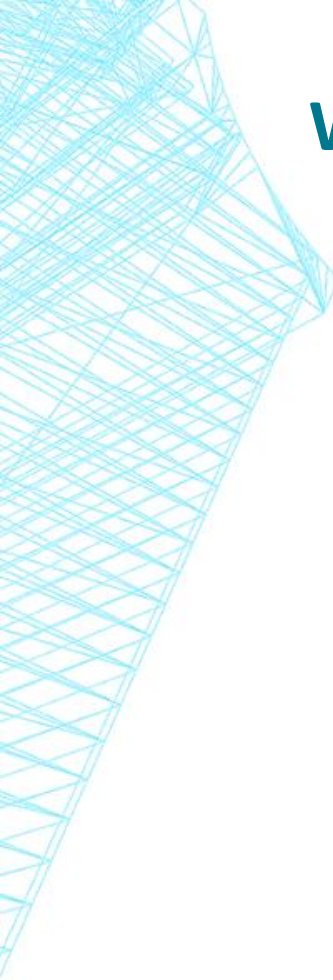
- ✓ A **struggling company** may **decide** to **shrink** its **operations** to **reduce costs** in order to **survive**.
- ✓ A company **facing strong** new **competition** may have to radically **rethink** its product offerings or pricing **to avoid losing too much** market share to the newcomer.



What activities make up the strategic management process?

5-Planning Firm Actions to Implement Strategies

- When managers create strategies, they are making plans for how their firm will compete in the marketplace and what actions the firm will have to undertake to compete.

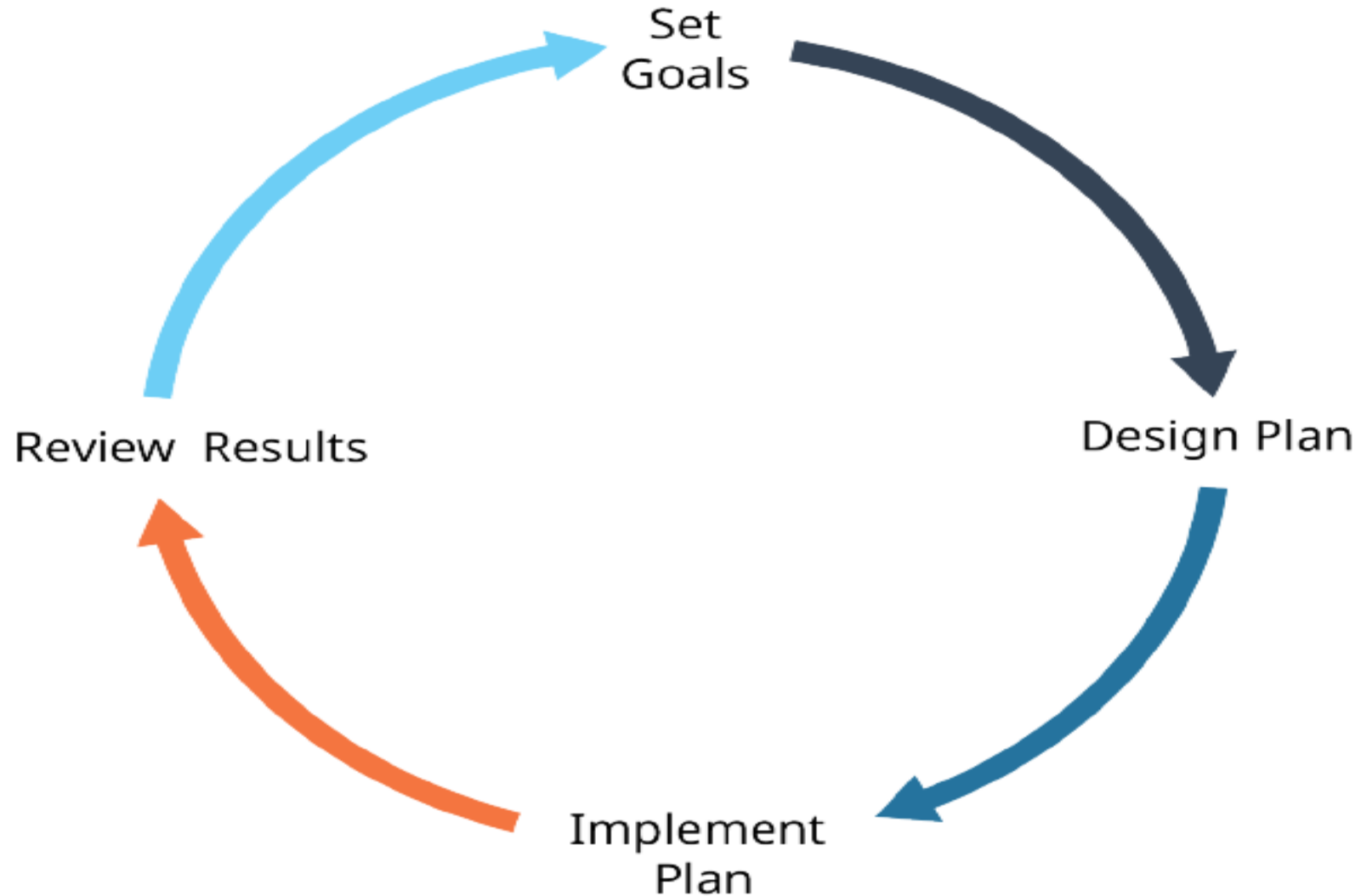


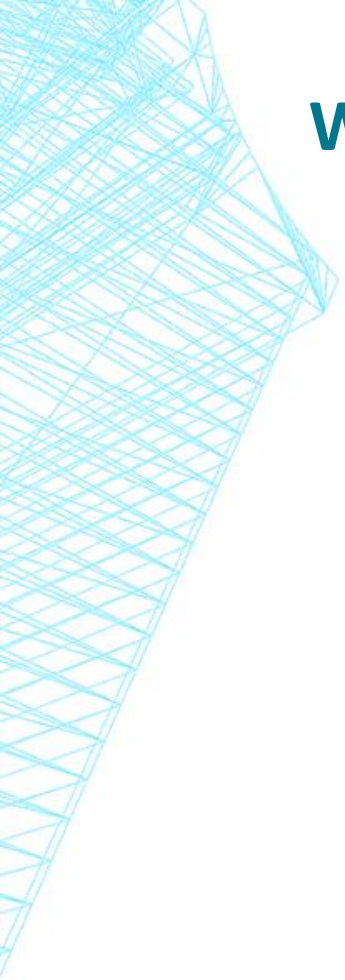
What is the meaning of a plan?

- Planning is a combination of deciding **what needs to be done**, **figuring out how to do it**, **assigning roles to people** and **providing them with the resources to complete their tasks**, and **overseeing the work** to ensure it is done correctly and in a timely manner.
- A **plan** is a **define a particular action** in order to **achieve a specific goal**.
- A **plan includes decisions** about **when and how actions** should be accomplished and **what resources** will be **required** to complete the actions.

What does the planning process look like?

Setting a good goal.





What does the planning process look like?

1- Set goals

- **A plan is about setting goals and how to achieve them.**
- A goal is something that you are trying to accomplish, and any firm will have many items on its list of things to accomplish.
- Setting good goals depends on using The SMART Framework.

What does the planning process look like?

The SMART Framework

Specific

The goal should be specific and understandable.

Measurable

The goal should be measurable so that you can tell if you are achieving it.

Achievable

The goal should be achievable and reasonable, not impossible.

Relevant

The goal should be relevant to your overall objective and help you to advance toward it.

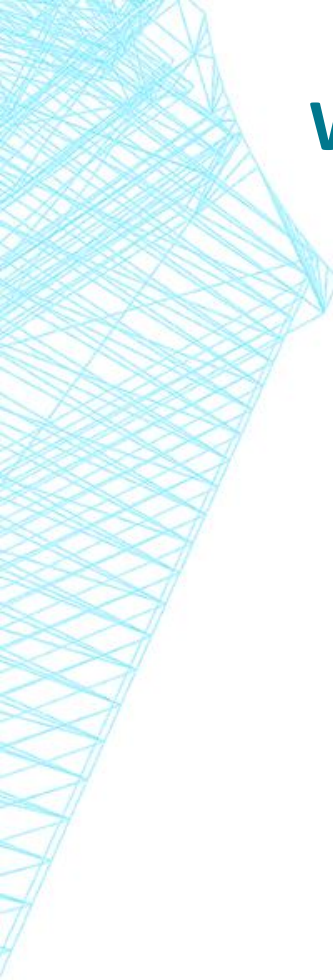
Time-Bound

The goal must have a time limit so that there is a sense of urgency to accomplishing it.

What does the planning process look like?

2- Design Plan

- The second step is designing the plan, which involves several distinct activities. Part of the manager's task in designing a plan is coordinating various ideas with a firm's resources, capabilities, and time constraints.
- When does the goal need to be accomplished?
- What other resources does the firm need to complete the project?



What does the planning process look like?

3- Implementing Plans

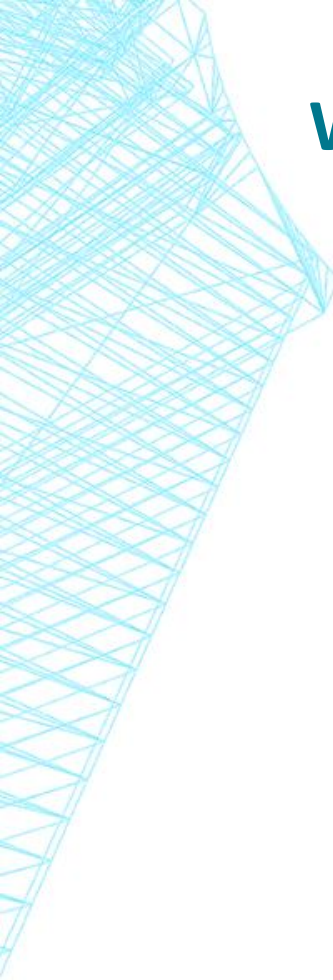
- Implementation of planned strategies **refers** to executing a **strategy** by assigning tasks for people to carry out to accomplish the company's strategic goals.
- Such **tasks include** research and development to **add unique features**, monitoring manufacturing to ensure company products meet high-quality standards, and marketing the product to add brand value in the eyes of consumers.



What does the planning process look like?

4- Review results

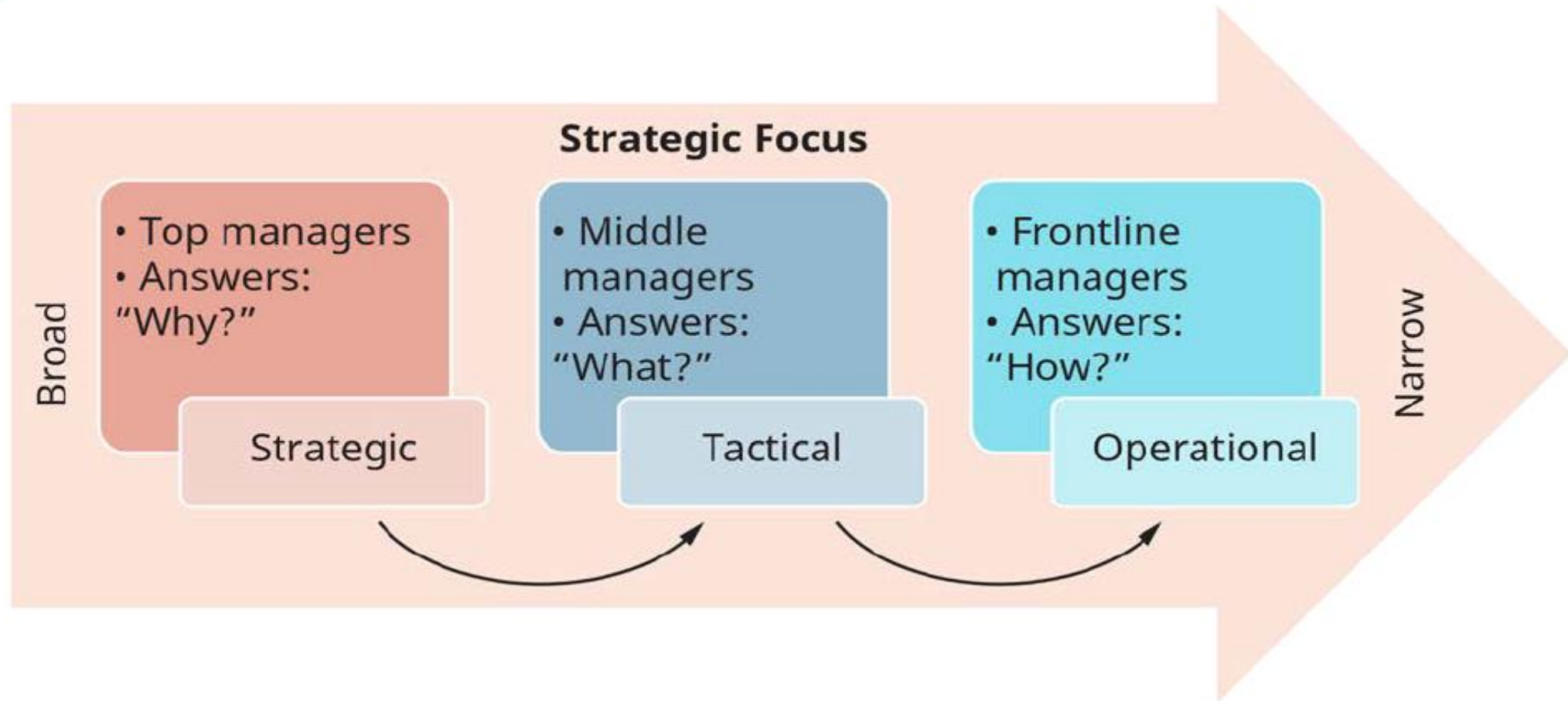
- The **last step** in the **strategy cycle** and in **planning cycle** is **measuring** and **evaluating performance**.
- The “**M**” in **SMART** goals also refers to **measurement**.
- Evaluation involves setting a performance standard, measuring the results of firm activities, and comparing the results to the standard.



What are the levels of planning?

- **Strategic planning** is what we've been discussing so far. It's the **high-level planning** performed by **company executives** in order to set the overall direction of the company.
- **Tactical planning** is **mid-level planning** that consists of broad ideas about how the company should pursue its mission. **Division managers** do this sort of planning.
- **Operational planning** lays out the **front-line activities** that **each employee** will perform to advance the tactical plans.

What are the levels of planning?





What activities make up the strategic management process?

6-Measure and evaluate the performance

How do we measure and evaluate performance?

1-Numeric rating scales

For example, you may create a ranking system, such as one through five, where five shows a high level of performance.



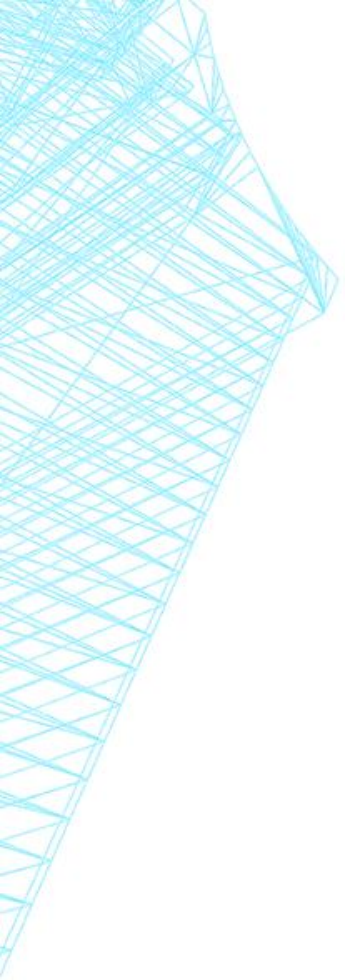
What activities make up the strategic management process?

2-Duties and functions checklist

- ✓ Detailing which team members are responsible for which activities can create more transparency in the management process. This helps team members clearly understand the expectations of their contribution, which can increase performance.

3-Peer reviews

- Evaluating the performance in the view of customers, stakeholders, or employees.



THANKS